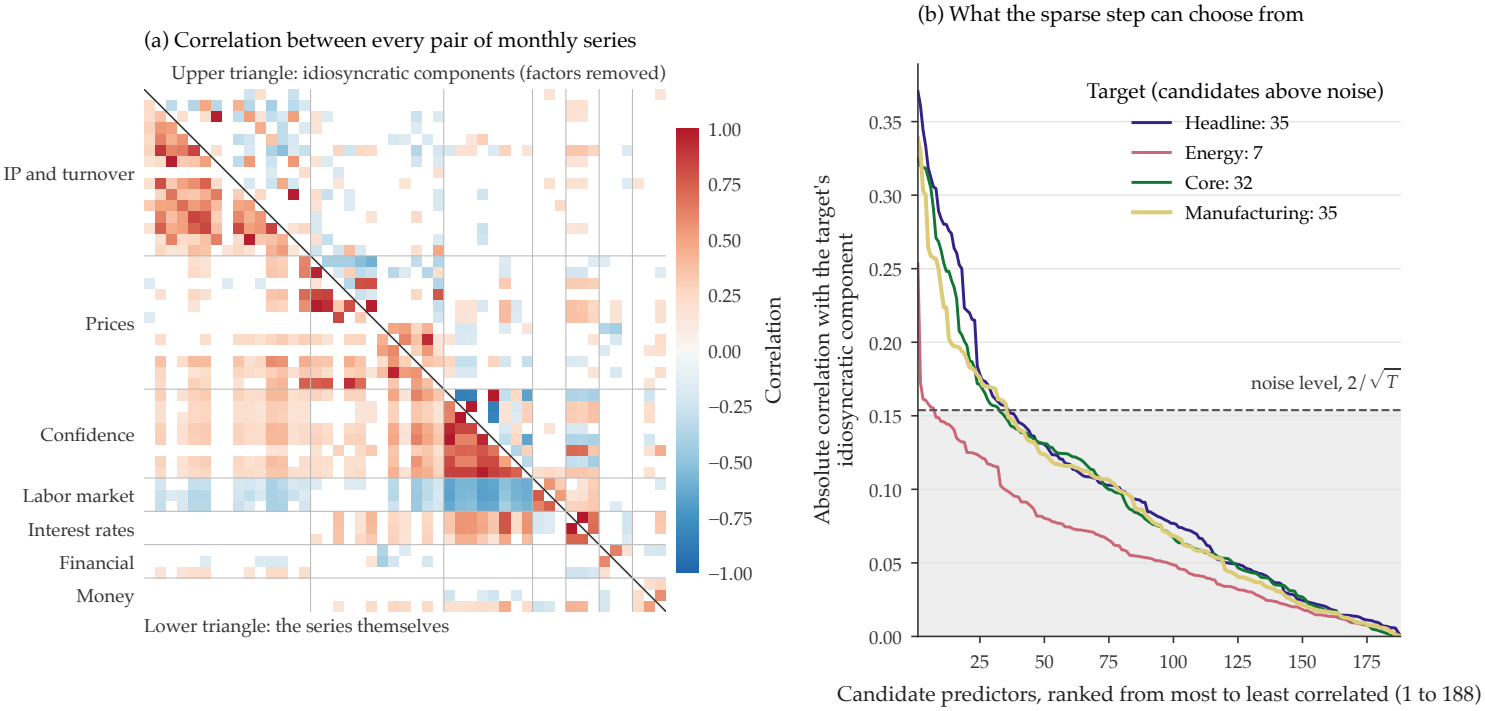
(a) Correlation between every pair of monthly series
Upper triangle: idiosyncratic components (factors removed)
IP and turnover
Prices
Confidence
Labor market
Interest rates
Financial
Money
Lower triangle: the series themselves
1.00
0.75
0.50
0.25
0.00
−0.25
−0.50
−0.75
−1.00
Correlation
(b) What the sparse step can choose from
Target (candidates above noise)
Headline: 35
Energy: 7
Core: 32
Manufacturing: 35
noise level, $2/\sqrt{T}$
Absolute correlation with the target's idiosyncratic component
0.35
0.30
0.25
0.20
0.15
0.10
0.05
0.00
25
50
75
100
125
150
175
Candidate predictors, ranked from most to least correlated (1 to 188)